CENTRAL ELECTRICITY REGULATORY COMMISSION

NEW DELHI

Petition No. 211/TT/2024

Coram:

Shri Jishnu Barua, Chairperson
Shri Ramesh Babu V., Member
Shri Harish Dudani, Member
Shri Ravinder Singh Dhillon, Member

Date of Order: 16.01.2026

In the matter of:

Approval under Regulation 23 of the Central Electricity Regulatory Commission (Conduct of Business) Regulations, 2023 and the Central Electricity Regulatory Commission (Terms and Conditions of Tariff) Regulations, 2019 for determination of transmission tariff from the COD to 31.3.2024 for Asset:1: 420 kV 63 MVAR Lower Subansiri-2 line reactor (to be used as Bus Reactor) along with associated bays & equipment at Biswanath Chariali (POWERGRID), Asset-2: Lower Subansiri - Biswanath Chariali (POWERGRID) 400 kV D/C line-1 with twin Lapwing conductor along with associated bays & equipment at Biswanath Chariali (POWERGRID), Asset-3: Lower Subansiri - Biswanath Chariali (POWERGRID) 400 kV D/C line-2 with twin Lapwing conductor along with associated bays & equipment at Biswanath Chariali (POWERGRID) & Asset-4: 420 kV 63 MVAR Lower Subansiri-4 line reactor (to be used as Bus Reactor) along with associated bays & equipment at Biswanath Chariyali (POWERGRID) under the transmission system associated with **"North East – Northern/ Western Inter-connector – I Project" in the North-Eastern Region.**

And in the matter of:

Power Grid Corporation of India Limited,
SAUDAMINI, Plot No-2,
Sector-29, Gurgaon-122001 (Haryana). **.....Petitioner**

Versus

1. Assam Power Distribution Company Limited
   4th Floor, Bijulee Bhawan, Paltan Bazar,
   Guwahati, Assam 781001

2. Meghalaya Energy Corporation Limited,
   Short Round Road, "Lumjingshai"
   Shillong – 793001, Meghalaya,

3. Government of Arunachal Pradesh
   Itanagar, Arunachal Pradesh

4. Power and Electricity Department
   Government of Mizoram
   Aizawl, Mizoram

5. Manipur State Power Distribution Corporation Limited
   Keishampat, Imphal

6. Department of Power
   Government of Nagaland
   Kohima, Nagaland

7. Tripura State Electricity Corporation Limited
   Vidyut Bhawan, North Banamalipur,
   Agartala, Tripura (W) – 799001, Tripura

8. NHPC Limited
   NHPC Office Complex,
   Sector-33, Faridabad,
   Haryana-121003

9. Central Transmission Utility of India Ltd. (CTUIL),
   Saudamini, Plot No. 02, Sector 29
   Gurugram – 122001 **...Respondent(s)**

Parties Present: Ms. Swapna Seshadri, Advocate, PGCIL
Shri Utkarsh Singh, Advocate, PGCIL
Ms. Rupinder Kaur, Advocate, PGCIL
Shri Venkatesh, Advocate, NHPC
Shri Ashutosh K. Shrivastava, Advocate, NHPC
Shri Akash Lamba, Advocate, NHPC
Shri Adarsh Singh, Advocate, NHPC
Shri Zafrul Hasan, PGCIL
Shri Vijay G, PGCIL
Shri Naresh Kumar, PGCIL
Shri Arjun Malhotra, PGCIL

INTERIM ORDER

The instant Petition has been filed by Power Grid Corporation of India Limited for determination of tariff under the Central Electricity Regulatory Commission (Terms and

Conditions of Tariff) Regulations, 2019 (hereinafter referred to as "the 2019 Tariff Regulations") of the period from COD to 31.3.2024 in respect of the following assets under North East-Northern/Western Interconnector-I Project in the North-Eastern Region.

Asset
Asset-1:420 kV 63 MVAR Lower Subansiri-2 line reactor (to be used as Bus Reactor) along with associated bays & equipment at Biswanath Chariyali (POWERGRID)
Asset-2: Lower Subansiri – Biswanath Chariyali (POWERGRID) 400 kV D/C line-1 with twin Lapwing conductor along with associated bays & equipment at Biswanath Chariyali (POWERGRID)
Asset-3: Lower Subansiri – Biswanath Chariyali (POWERGRID) 400 kV D/C line-2 with twin Lapwing conductor along with associated bays & equipment at Biswanath Chariyali (POWERGRID)
Asset-4: 420 kV 63 MVAR Lower Subansiri-4 line reactor (to be used as Bus Reactor) along with associated bays & equipment at Biswanath Chariyali (POWERGRID)

2. The scheduled date of commercial operation (SCOD), the date of commercial operation (COD) claimed by the Petitioner and time over-run in case of the instant transmission are assets as follows:

Asset	SCOD	COD	Time over-run
Asset 1	1.3.2013	12.8.2022	3451 days
Asset 2		2.4.2023*	3684 days
Asset 3		26.3.2024*	4043 days
Asset 4		3.11.2023	3899 days

**The Petitioner has claimed COD for Asset-2 and Asset-3 under Regulation 5(2) of the 2019 Tariff Regulations.*

3. The Petitioner has claimed the COD for Asset-2 and Asset-3 under Regulation 5(2) of the 2019 Tariff Regulations, as the interconnected generating station, i.e., Lower Subansiri Hydro-Electric Power Project, being implemented by NHPC, was not ready. The Petitioner also prayed for the grant of interim relief under Regulation 13(3) of the 2019 Tariff Regulations.

4. The Commission vide order dated 5.12.2025 approved 70% of the AFC claimed as an interim tariff for Asset-1 and Asset-4 under Regulation 10(3) of the 2019 Tariff Regulations. However, no interim tariff was approved for Asset-2 and Asset-3 as they have not been put into commercial operation, due to the non-readiness of the

interconnected generation under the scope of NHPC, and their COD was claimed under Regulation 5(2) of the 2019 Tariff Regulations. The relevant portions of the Commission's order dated 5.12.2025 are extracted hereunder:

> "*6. We have considered the Petitioner's submissions and prayer for the grant of an interim tariff. The rival contentions will be considered only at the time of the final tariff order. Therefore, the same are not deliberated in the instant interim order.*
>
> *7. Regulation 5 (2) of the 2019 Tariff Regulation provides as under:*
>
> > *"In case the transmission system or element thereof executed by a transmission licensee is ready for commercial operation but the interconnected generating station or the transmission system of other transmission licensee as per the agreed project implementation schedule is not ready for commercial operation, the transmission licensee may file petition before the Commission for approval of the date of commercial operation of such transmission system or element thereof."*
>
> *8. As we are not deliberating in detail in this interim order, the prayer for the grant of COD under Regulation 5(2) of the 2019 Tariff Regulations shall be considered in the final order."*
>
> *"10. As the Petitioner has filed the application in pursuance of Regulation 9(1) of the 2019 Tariff Regulations for the grant of interim tariff for its new transmission project under Regulation 10(3) of the 2019 Tariff Regulations, this interim tariff is being granted to the Petitioner after carrying out a preliminary prudence check of the Annual Fixed Cost (AFC) claimed by the Petitioner and taking into consideration the time over-run in case of the instant transmission assets, which shall be looked into in detail at the time of grant of the final tariff order. Accordingly, the interim tariff @ 70% of the AFC claimed in Asset-1 and Asset-4 in the instant Petition shall be allowed for the 2022-23 and 2023- 24 tariff period in terms of Regulation 10(3) of the 2019 Tariff Regulations. However, the Commission is not inclined to allow an interim transmission tariff for Asset-2 and Asset-3 as the assets have not been put into commercial operation due to delay in commissioning of generation asset under the scope of NHPC, and the tariff has been claimed under Regulation 5(2) of the 2019 Tariff Regulations and hence, the same shall be dealt with in the final tariff order."*

5. We understand that NHPC has commissioned a 250 MW Unit on 23.12.2025, and Asset-2 and Asset-3 are put into use w.e.f. 23.12.2025, i.e. after the issue of order dated 5.12.2025 allowing interim tariff for Asset-1 and Asset-4. The Petitioner has not been able to recover any transmission charges for Asset-2 and Asset-3, which are of high capital cost and have been put to use, in the absence of approval of any tariff by this Commission. Taking into consideration that the issue of final order in the matter would take some more time, we decide to grant an interim tariff for Asset-2 and Asset-3 under Regulation 10(3) of the 2019 Tariff Regulations.

6. Regulation 10(3) and 10(6) of the 2019 Tariff Regulations provide as follows:

*"**10. Determination of tariff***

……

(3) If the information furnished in the petition is in accordance with these regulations and is adequate for carrying out prudence check of the claims made, the Commission may consider granting interim tariff in case of new projects.

……

(6) The Commission may hear the petitioner, the respondents and any other person permitted including the consumers or consumer associations while granting interim or final tariff."

7. As per Regulation 10(3) of the 2019 Tariff Regulations, the Commission may grant an interim tariff, if the information furnished by the Petitioner is adequate for carrying a prudence check of the claims made, after hearing the parties concerned as provided in Regulation 10(6) of the 2019 Tariff Regulations. In the instant case, we have heard the Petitioner and NHPC.

COD of Asset- 2 and Asset-3

8. For granting an interim tariff, we need to first approve the COD of the Asset-2 and Asset-3. The Petitioner has claimed the COD of Asset-2 and Asset-3 as 2.4.2023 and 26.3.2024, respectively, under Regulation 5(2) of the 2019 Tariff Regulations due to the non-readiness of the interconnected generating station under the scope of NHPC. In support of the COD of Asset-2 and Asset-3, the Petitioner has submitted the CEA Energisation Certificate, RLDC Trial Run Certificates of Idle Charging Operation (without electrical load), and the CMD certificate.

9. NHPC, in its affidavits dated 24.6.2025 and 15.9.2025, has contested the Petitioner's claim for approval of COD of Asset-2 and Asset-3 as 2.4.2023 and 26.3.2024, respectively, under Regulation 5(2) of the 2019 Tariff Regulations. The gist of the submissions made by NHPC is as follows:

a. The Petitioner has failed to coordinate effectively with NHPC regarding the synchronisation of its Asset-2 and Asset-3 with NHPC and did not establish any fixed timelines or obligations for this alignment. Further, the Petitioner advanced the construction of these transmission elements independently, based solely on

its internal grid planning approvals, without engaging NHPC to agree on their scope, timeline, or purpose. Therefore, the Petitioner's unilateral communications claiming deemed COD for Asset 2 as 2.4.2023 and Asset-3 as 26.3.2024 prior to the grant of final connectivity to NHPC by CTUIL show that the Petitioner planned its assets as per its own convenience. The start date of connectivity was notified as follows:

i. Connectivity for Unit-1 for 250 MW with a start date of connectivity as 17.2.2024.
ii. Connectivity for Unit-2 for 250 MW with a start date of connectivity as 29.2.2024
iii. Connectivity for grant of 1500 MW (Units 3 to 8) with a start date of connectivity as 31.3.2024.

b. The letters issued under Regulation 5(2) of the 2019 Tariff Regulations are not as per the start date of connectivity. Thus, the Petitioner cannot insist on any liability on NHPC prior to the start date of connectivity granted by CTUIL, as it is against the 2020 Sharing Regulations and the 2022 GNA Regulations.

c. The Petitioner has not complied with Regulation 5(2) of the 2019 Tariff Regulations on the following counts:

i. The Petitioner has failed to coordinate effectively in statutory meetings regarding the alignment of commissioning schedules for its assets and NHPC's assets. The minutes of the 19th JCC Meeting dated 22. 9.2023 indicate a lack of coordination between the parties. The Petitioner is responsible for the initial commissioning, and proper coordination was expected.

ii. The Petitioner also failed to document the relevant JCC meetings during which NHPC updated the status of its generating station. This omission suggests that the Petitioner’s failure to record these statutory meetings disentitles them from claiming COD.

d. Non-Compliance of Regulation 27(1)(c)(i) of the Indian Electricity Grid Code (IEGC) Regulations, 2023, (2023 IEGC Regulations). The unilateral declaration of COD by the Petitioner contradicts the fourth proviso of Regulation 27(1)(c)(i) of the 2023 IEGC Regulations.

e. The Petitioner declared COD for Asset-2 on 2.4.2023 and Asset-3 on 26.3.2024 without the CTUIL certificate or the Commission's approval, relying on certificates from the Grid Controller, which is legally untenable. The Grid Controller's role is limited to operational monitoring and cannot certify COD for cost recovery. Thus, the fourth proviso to Regulation 27(1)(c)(i) of the 2023 IEGC Regulations, unequivocally mandates that the COD of a transmission element or system shall not take effect unless approved by the Commission, and such approval must be founded upon a certificate issued by the CTUIL confirming the successful completion of trial operation and readiness of the asset. This requirement is not a procedural nicety but a statutory safeguard, designed to ensure that:

(a) The transmission elements are grid-compliant and technically ready.

(b) The operationalisation is validated by the CTUIL, the designated statutory authority, and

(c) No financial burden is shifted onto the generators or beneficiaries without regulatory approval.

f. The Grid Controller's certificate cannot replace CTUIL's statutory certification under the fourth proviso of Regulation 27(1)(c) of the 2023 IEGC Regulations. Without CTUIL certification, the Petitioner's unilateral COD declaration has no legal effect and cannot impose YTC on NHPC. The attempt to rely on the Grid Controller's certification bypasses the statutory procedures and should be rejected.

10. In response, the Petitioner vide affidavit dated 8.7.2025 and 22.9.2025 has made the following submissions:

a. NHPC's claim of no coordination is incorrect. NHPC responded to both the notices issued by the Petitioner under Regulation 5(2) of the 2019 Tariff Regulations, participated in the meetings with regard to the trial operation and was made aware of the provisions of the Tariff Regulations as well as the IEGC with regard to the mismatch. NHPC's objections are untenable, as the facts with regard to the charging and trial operation of both Assets 2 and 3 speak for themselves. NHPC was kept informed at all stages. Therefore, the allegation that there was lack of coordination on the part of the Petitioner is not correct.

b. Non-Compliance of IEGC Regulation 27(1)(c)(i)

NHPC's reliance upon the fourth proviso to Regulation 27(1)(c)(i) of the 2023 IEGC Regulations with regard to claiming COD of the transmission elements or system/ Assets is misplaced. The declaration of COD of Asset-2 and Asset-3 was undertaken strictly in accordance with the 2019 Tariff Regulations. There is also no inconsistency between the 2019 Tariff Regulations and the IEGC for the IEGC to override the issue of deemed COD declaration, if sought by a transmission licensee. NHPC has selectively relied upon the fourth proviso to Regulation 27(1)(c)(i) of 2023 IEGC Regulations, while ignoring that the COD of Asset-2 (2.4.2023) was declared prior to the coming into force of the 2023 IEGC Regulations. Therefore, the requirement of the CTUIL certificate cannot be applied to Asset-2. Further, the fourth proviso to Regulation 27(1)(c)(i) of 2023 IEGC Regulations does not nullify or over-ride the scheme of Regulation 5(2) of the 2019 Tariff Regulations which empowers a transmission licensee to declare COD where its asset is ready but the generating station is delayed, and such a declaration is always subject to the approval of the Commission.

c. Asset-3 was ready on 26.3.2024, which is after the notification of the 2023 IEGC Regulations, and the CTUIL certificate has been furnished.

d. NHPC's contention that no CTUIL certificate has been placed on record, even though deemed COD has been claimed, ignores that the Petitioner has placed on record the CTUIL Certificate towards completion of Asset-3 in compliance with the fourth proviso of Regulation 27(1)(c) (i) of the 2023 IEGC Regulations.

11. We have considered the submission of the Petitioner and NHPC.

12. Regulation 5 of the 2019 Tariff Regulations provides as follows:

> *"**5. Date of Commercial Operation**: (1) The date of commercial operation of a generating station or unit thereof or a transmission system or element thereof and associated communication system shall be determined in accordance with the provisions of the Grid Code.*
>
> *(2) In case the transmission system or element thereof executed by a transmission licensee is ready for commercial operation but the interconnected generating station or the transmission system of other transmission licensee as per the agreed project implementation schedule is not ready for commercial operation, the transmission licensee may file Petition before the Commission for approval of the date of commercial operation of such transmission system or element thereof:*
>
> *Provided that the transmission licensee seeking the approval of the date of commercial operation under this clause shall give prior notice of at least one month, to the generating company or the other transmission licensee and the long-term customers of its transmission system, as the case may be, regarding the date of commercial operation:*
>
> *Provided further that the transmission licensee seeking the approval of the date of commercial operation of the transmission system under this clause shall be required to submit the following documents along with the petition:*
>
> > *(a) Energization certificate issued by the Regional Electrical Inspector under Central Electricity Authority;*
> > *(b) Trial operation certificate issued by the concerned RLDC for charging element with or without electrical load;*
> > *(c) Implementation Agreement, if any, executed by the parties;*
> > *(d) Minutes of the coordination meetings or related correspondences regarding the monitoring of the progress of the generating station and transmission systems;*
> > *(e) Notice issued by the transmission licensee as per the first proviso under this clause and the response;*
> > *(f) Certificate of the CEO or MD of the company regarding the completion of the transmission system including associated communication system in all respects.*

13. NHPC has mainly contended that the Petitioner's unilateral communications claiming deemed COD for Asset-2 as 2.4.2023 and Asset-3 as 26.3.2024 prior to the

final grant of connectivity granted to NHPC by CTUIL shows that PGCIL planned its asset as per its own convenience and the letters issued under Regulation 5(2) of the 2019 Tariff Regulations are not as per the start date of connectivity. In response, the Petitioner has submitted that NHPC responded to both the notices issued by the Petitioner under Regulation 5(2) of the 2019 Tariff Regulations, participated in the meetings with regard to trial operation and was informed of the provisions of the Tariff Regulations as well as the IEGC with regard to the mismatch.

COD of the Asset-2

14. The Petitioner has claimed the COD of the Asset -2 as 2.4.2023 under Regulation 5(2) of the 2019 Tariff Regulations due to the delay in commissioning of the generation asset under the scope of NHPC. The 2023 IEGC Regulations were notified after 2.4.2023; therefore, the Petitioner has to comply with the requirements of Regulation 5(2) of the 2019 Tariff Regulations. The Petitioner may file a petition for approval of the COD of the transmission system through a petition under Regulation 5(2) of the 2019 Tariff Regulations and submit the applicable documents mentioned in the second proviso to Regulation 5(2) of the 2019 Tariff Regulations. The Petitioner has submitted the following documents in support of its claim:

a. Energisation certificate issued by the Regional Electrical Inspector:

The Petitioner has submitted CEA energisation certificate dated 8.2.2023 and 6.10.203, and the same are as follows:

भारत सरकार/Govt. of India
विद्युत मंत्रालय/Ministry of Power
केन्द्रीय विद्युत प्राधिकरण/Central Electricity Authority
मुख्य विद्युत निरीक्षणालय प्रभाग/Chief Electrical Inspectorate Division
****

No. CEA/CEI/1/EI/RIO(E/NE)/INSP/2023/539 Dated: 06.10.2023

To,
Shri Hemendra Agrawal,
+/_ 800 kV HVDC Substation, POWERGRID, Niz Baghmari,
Biswanath Chariali, Distt: Sonitpur, Assam 784176

Approval for Energisation

[Under Regulation 43 of CEA (Measures relating to Safety and Electric Supply) Regulations, 2010 (as amended)]

Inspected by: - Shri RK Tiwari, Deputy Director, CEA on 21and 22-03-2023
Location:- Lower Subansiri - Biswanath Chariali Transmission Line - I (Ckt 1 and Ckt 2)
Reference: - Ref.:(1) Your online application no. B/2023/01255(SWS Ref. no. 462257) dated 28/02/2023 (2) Our letter no. CEI/2/EI(RIO(N) /INSP/2023 dated 24/03/2023 (3) Your compliance report no. NER/BNC/TLC-CEA/2022-23/964 dated 27/03/2023

The inspection of 400 kV D/C Lower Subansiri - Biswanath Chariali Transmission Line - I (Ckt 1 and Ckt 2) installed by POWERGRID was carried out on 21and 22-03-2023 by the undersigned. The non-compliance of certain provisions/ stipulations of CEA (Measures relating to Safety and Electric Supply) Regulations, 2010 (as amended) were conveyed to you vide our letter under reference at Sl. No. (2) above (Inspection Report). As the compliance of the same was received vide your letter under reference at Sl. No. (3) above, the approval for energization of 400 kV D/C Lower Subansiri - Biswanath Chariali Transmission Line - I (Ckt 1 and Ckt 2) under Regulation 43 was accorded on 28/03/2023 subject to consistent compliance to CEA safety regulations by POWERGRID during operation of the above line. Now formal approval is given.

Periodical inspection of above electrical installation shall be due after 02 years from the date of inspection under Regulation 30 of CEA (Measures relating to Safety and Electric Supply) Regulations, 2010(as amended). This periodicity is subject to change by Government notification.

(RK Tiwari)
Dy. Director and Electrical Inspector
to the Government of India

भारत सरकार Government of India
विद्युत मंत्रालय Ministry of Power

क्षेत्रीय निरीक्षण संगठन
Regional Inspectorial Organisation
केंद्रीय विद्युत प्राधिकरण
Central Electricity Authority
एन ई आर पी सी कॉम्प्लेक्स, दिंग फार्मर, लापलांग, शिलांग, मेघालय
NERPC Complex, Dong Parmaw, Lapalang, Shillong-793006, Meghalaya
Phone No: 0364-2534083, 2534034, Email : rioneshillong@gmail.com

No.- RIO/NER/PGCIL/BNC-Bay/ 27

Date -08.02.2023

To,

The Chief General Manager (BNC-HVDC SS & TLCL
800 KV HVDC Sub Station
Powergrid Corporation of India Ltd,
Nir Bagbhar,BNC
Assam -784176

Subject: Approval for energisation of Lower Subansiri Ckt 1 & 2 line bays at 800 kV HVDC Substation BNC, Assam, PGCIL -**Under Regulation 43 of CEA (Measures relating to Safety and Electric Supply) Regulations, 2010 (as amended till date)**

Ref: 1) Your online Application No. (i) A/2023/10835 dated 11.01.2023
2) RIO (NE), Inspection report No. RIO/NER/PGCIL/BNC-Bay/24 dated 07.02.2023
3) Your compliance report No. [illegible]

Sir,

With reference to the online applications cited above, approval is hereby granted to energise the electrical equipments as per the list of online application (Sl. 1 in reference) at 800 kV HVDC Substation BNC, Assam, PGCIL.

This approval is strictly valid subject to your full compliance with the relevant provisions of the Central Electricity Authority (Measures relating to Safety and Electric Supply) Regulations 2010 (as amended till date) in every respect. Consistence compliance of the aforesaid provisions shall be ensured for safety in operation and maintenance of the above electrical installation in all times.

Inspection of the aforesaid electrical installation was carried out by the undersigned on 03.02. 2023.

THIS APPROVAL IS VALID UP TO 02.02.2025

08/02/2023
(Ajit Kumar Roy)
Asstt. Director
for CEI to the GOI

b. Trial operation certificate issued by the concerned RLDC for charging element with or without electrical load;

NERLDC vide letter dated 25.8.2023 has issued an idle charging certificate for 400 kV BNC - Lower Subansiri ckt-1, along with associated line bays at BNC, and the same is as follows:

ग्रिड-इंडिया GRID-INDIA
ग्रिड कंट्रोलर ऑफ इंडिया लिमिटेड
(भारत सरकार का उद्यम)
GRID CONTROLLER OF INDIA LIMITED
(A Government of India Enterprise)
[Formerly Power System Operation Corporation Limited (POSOCO)]
उत्तर पूर्वी क्षेत्रीय भार प्रेषण केन्द्र / North Eastern Regional Load Despatch Centre
कार्यालय : लोअर, लापालांग, शिलांग -793006
Office : Lower Nongrah, Lapalang, Shillong- 793006
CIN: U40105DL2009GOI188682, Website : www.erldc.in, E-mail : nerldc@grid-india.in, Tel : 0364-2537470/427, Fax: 03642537466

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प्रमाण पत्र संख्या/ Certificate Number: NERLDC/SOII/TOC/20/5141 दिनांक/Date: 25.08.23

ट्रांसमिशन एलिमेंट के आइडल चार्जिंग ऑपरेशन के पूरा होने का प्रमाण पत्र
Certificate of completion of Idle Charging Operation of Transmission Element

संदर्भ/References:

1. NERTS application in FTC Portal dated 23.03.23 & 25.03.23
2. NERLDC communication dated 27.03.23 in Format II
3. Provisional approval dated 30.03.23 from NERLDC to NERTS
4. Real time code issued by NERLDC on 30.03.23
5. Application for Trial Operation by NERTS on 18.04.23 in FTC portal
6. NERLDC communication vide email dated 20.04.23, 26.04.23, 02.05.23 & 10.05.23
7. NERTS communication vide email dated 11.05.23
8. NERLDC communication vide email dated 11.05.23 & 25.05.23
9. NERTS communication vide email dated 26.05.23
10. ToC issued by NERLDC vide Certificate No: NERLDC/SOII/TOC/20/4791 dated 02.06.23
11. NERTS communication vide letter with Ref no. NESH/F-107/RTAMC-03/2023/04 dated 11.08.23

Based on the above reference, it is hereby certified that the following transmission element has successfully completed the Idle Charging Operation:

ट्रांसमिशन एसेट का नाम/ Name of the Transmission Asset:	**400 kV BNC-Lower Subansiri ckt 1 along with associated Line Bays at BNC till gantry of Lower Subansiri**
ट्रांसमिशन एसेट का मालिक / Owner of the Transmission Asset :	POWERGRID
सफल आइडल चार्जिंग ऑपरेशन के संचालन के प्रारंभ होने की तारीख और समय/ Date and Time of Energization for commencement of successful Idle Charging Operation:	31.03.23 at 2144 Hrs
सफल आइडल चार्जिंग ऑपरेशन के पूरा होने की तारीख और समय/ Date and Time of completion of successful Idle Charging Operation:	01.04.23 at 2144 Hrs

This certificate is being issued in accordance with Regulation 5(2) (b) of CERC (Terms & Conditions of Tariff) Regulations 2019 to certify idle charging operation of transmission element(s) without electrical load i.e. without flow of active power. Usage of this certificate for any other purpose is prohibited.

This certificate shall supersede the previous certificate issued for the same asset as per Sl. No.10 in reference above.

भवदीय /Yours Sincerely

अमरेश

(अमरेश मल्लिक / Amaresh Mallick)
मुख्य महाप्रबंधक (प्रभारी)/ Chief General Manager(I/C)
उपक्षेभाप्रेके, शिलांग / NERLDC, Shillong

c. Notice issued by the transmission licensee as per the first proviso to Regulation 5(2) of the 2019 Tariff Regulations

पावरग्रिड
POWERGRID

पावर ग्रिड कॉर्पोरेशन ऑफ इंडिया लिमिटेड
(भारत सरकार का उद्यम)
POWER GRID CORPORATION OF INDIA LIMITED
(A Government of India Enterprise)

Ref: NERHQ/ EDC/ 2023-24/ 110

Date: 05.10.2023

To,
The Executive Director
M/s NHPC Ltd
NHPC Office Complex
Sector - 33
Faridabad
Haryana-121003

Sub: Notice under first provisions of Clause-2, Regulation 5 of Central electricity Regulatory Commission under Chapter-2 (Terms and condition of Tariff) Regulation, 2019

Dear Madam/Sir,

1. We are please to inform that commisoning works of the following asset is being completed and ready for intended use by **31.10.2023 .**

   400 kV D/C Lower Subansiri- Biswanath Chariali Line-II along with associated bays at Biswanath Chariali Pooling Station

2. In this connection, you are requested to update the likely date of commissioning of your associated Generation system i.e., 2000MW (8x250MW) Hydro Electric Project of M/s NHPC at Lower Subansiri, Arunachal Pradesh.

3. Further M/s NHPC Ltd is hereby given Notice under the first provision of Clause 2 Regulation 5 under chapter-2 of Central Electricity Regulatory Commission (Terms and Condition of Tariff) Regulation'2019 for commissioning of associate transmission system.

Thanking you.

Yours faithfully,
5.10.23
(U. Kataki)
ED (NERTS)
NERTS, POWERGRID

पावरग्रिड
POWERGRID

पावर ग्रिड कॉर्पोरेशन ऑफ इंडिया लिमिटेड
(भारत सरकार का उद्यम)
POWER GRID CORPORATION OF INDIA LIMITED
(A Government of India Enterprise)

Ref:-NERHQ/EDC/2022-23/ **Date: 25.02.2023**

To
The Executive Director
M/s NHPC Ltd
NHPC Office Complex
Sector- 33, Faridabad
Haryana-121003

Sub: Notice under first provisions of clause-2, Regulation 5 of Central electricity Regulatory Commission under Chapter-2 (Terms and condition of Tariff) regulation'2019

Dear Sir,

We are please to inform that commisoning works of the following asset is being completed and ready for intended use by **15.03.2023.**

1. 400 kV D/C Lower Subansiri- Biswanath Chariali Line-I along with associated bays at Biswanath Chariali Pooling Station

In this connection, you are requested to update the likely date of commissioning of your associated Generation system i.e. 2000MW Hydro Electric Project of M/s NHPC at Lower Subansiri, Arunachal Pradesh.

Further M/s NHPC Ltd is hereby given Notice under the first provision of Clause 2 Regulation 5 under chapter-2 of Central Electricity Regulatory Commission (Terms and Condition of Tariff) Regulation'2019 for commissioning of associate transmission system.

Thanking you.

Yours faithfully
25/2/23
(U. Kataki)
Chief General Manager (I/C)
NERTS, POWERGRID

Copy to:-
As per distribution

15. We have perused the above-mentioned documents. The Petitioner has furnished the documents required for the approval of the COD of the Asset-2 under Regulation 5(2) of the 2019 Tariff Regulations. Taking into consideration the CEA energisation certificate dated 6.10.2023 and 8.2.2023, Idle Charging Operation Certificate dated 25.8.2023 issued by the Grid Controller of India and the Notices dated 5.10.2023 issued by the Petitioner under Regulation 5(2) of the 2019 Tariff Regulations, the COD of the Asset-2 is approved as 2.4.2023 under Regulation 5(2) of the 2019 Tariff Regulations.

COD of the Asset-3

16. The Petitioner has claimed the COD of the Asset-3 as 26.3.2024 under Regulation 5(2) of the 2019 Tariff Regulations. i.e. after the notification of the 2023 IEGC Regulations. As per the fourth proviso of Regulation 27(c)(i) of the 2023 IEGC Regulations, the Petitioner has to submit a certificate from the CTU to show that the transmission system is complete as per the applicable CEA Standards. In compliance with the provisions of 2019 Tariff Regulations, the Petitioner has submitted the CEA Energisation certificate, the 'No-load' RLDC charging certificate and the CMD certificate as required under Regulation 5(2) of the 2019 Tariff Regulations.

17. The fourth proviso of Regulation 27(c)(i) of the 2023 IEGC Regulations provides as follows:

> *"27. DECLARATION OF COMMERCIAL OPERATION (DOCO) AND COMMERCIAL OPERATION DATE (COD)*
>
> (c) Transmission System
>
> *(i) xxx*
>
> *xxxxx*
>
> *Provided also that in case a transmission system or an element thereof executed under regulated tariff mechanism is prevented from regular service on or after the scheduled COD for reasons not attributable to the transmission licensee or its supplier or its contractors but is on account of the delay in commissioning of the concerned generating station or in commissioning of the upstream or downstream transmission system of other transmission licensee, the transmission licensee shall approach the Commission through an appropriate petition along with a certificate from the CTU to the effect that the transmission system is complete as per the applicable CEA Standards, for approval of the commercial operation date of such transmission system or an element thereof:."*

18. The CTU vide letter dated 11.11.2024 has certified the COD of the Asset-3 and the same is as follows:

सेंट्रल ट्रांसमिशन यूटिलिटी ऑफ इंडिया लिमिटेड
(पावर ग्रिड कॉर्पोरेशन ऑफ इंडिया लिमिटेड के स्वामित्व में)
(भारत सरकार का उद्यम)

CENTRAL TRANSMISSION UTILITY OF INDIA LTD.
(A wholly owned subsidiary of Power Grid Corporation of India Limited)
(A Government of India Enterprise)

Certificate no.: CTU/CMG/RTM/Certificate/2024-25/05 Date: 11-11-2024

CTU Certificate towards completion of Transmission System
(In compliance with requirement of IEGC-2023 to apply for approval of COD)

To,
Power Grid Corporation of India Ltd.
North Eastern Region Transmission System (RHQ),
Dongtieh, Lower Nongrah, Lalapang,
Shillong- 793006 (Meghalaya)
Tel: 0364-2536371

Project-: "North East- Northern/Western Interconnector-I: Part-C " implemented by "Power Grid Corporation of India Ltd."

Reference:

i. POWERGRID Memorandum dated 27.02.2009.
ii. Letter from "Power Grid Corporation of India Ltd." with reference no. NESH/COMML/DOCO/2024-25 dated 21.08.2024 requesting CTU for issuance of the completion certificate.
iii. Approval letter from CEA with reference no. RIO/NER/PGCIL/BNC/43 dated 24.01.2024 for energization of each completed transmission line under consideration and CEA Consent letter with reference no. RIO/NER/HVDC/101-BNC/PGCIL/538 dated 08.12.2023 for charging line bay equipments under consideration along with NGR at HVDC Biswanath Chariali converter station.
iv. No load charging certificate with reference nos. NERLDC/MO/TOC/20/5994 dated 22.03.2024 & NERLDC/MO/TOC/20/6035 dated 05.04.2024 from GRID-INDIA.
v. Undertaking from "Power Grid Corporation of India Ltd." signed by ED (NERTS) regarding completion of transmission system.

This is to certify that transmission elements as detailed in **Table-A** have been completed by M/s "Power Grid Corporation of India Ltd." meeting all the requirements of the transmission line, sub-station, communication system & inter-related systems conforming CEA Standards & Regulations including:

(i) CEA (Technical Standards for Construction of Electrical Plants and Electric lines) Regulation, 2022.
(ii) CEA (Technical Standards for Connectivity to the Grid) Regulations, 2007.
(iii) CEA (Technical Standards for Communication in Power System Operation) Regulations, 2020.

(iv) CEA (Measures relating to Safety and Electricity Supply) Regulations, 2023

Table-A

Project: North East- Northern/Western Interconnector-I Part C: Transmission System for immediate evacuation of power from Lower Subhansiri HEP			
Sl. No.	**Name of the Transmission Elements (as per scope of works under CTU's OM/NCT's letter/MoP's OM)**	**Element(s) which are pre-required for declaring the commercial operation (COD) of the respective Element), if applicable**	**Date of completion (as declared by Transmission licensee)**
1	Lower Subansiri – Biswanath Chariyali (Pooling Point) 400kV two (2) D/C lines with twin lapwing conductor- **(Circuit III only** out of 4 no. of circuits)	-	*18.03.2024*
	Extension of 400kV Line bays at Biswanath Chariyali Pooling substation **(bays associated with Circuit III only)**	-	*18.03.2024*
	Lower Subansiri – Biswanath Chariyali (Pooling Point) 400kV two (2) D/C lines with twin lapwing conductor- **(Circuit IV only** out of 4 no. of circuits)	-	*25.03.2024*
	Extension of 400kV Line bays at Biswanath Chariyali Pooling substation **(bays associated with Circuit IV only)**	-	*25.03.2024*

This Certificate is issued based on the above referred documents/details & the undertaking submitted by "Power Grid Corporation of India Ltd." and in accordance with Fourth proviso to Regulation 27(1)(c)(i) of CERC (Indian Electricity Grid Code) Regulations, 2023, to certify that the subject transmission elements are complete as per applicable CEA Standards/Regulations and present certificate can be used to demonstrate Commercial Operation Date [COD] of aforesaid elements. Usage of this Certificate for any other purpose is prohibited.

हस्ताक्षर/Signature:

नाम/Name: Atul Kumar Agarwal

पदनाम/Designation: Chief General Manager

Date: 11-11-2024

19. Taking into consideration the CTUIL certificate dated 11.11.2024 declaring the date of completion of the asset as 18.3.2024 and 25.3.2024 as required under the 2023 IEGC Regulations, the COD of the Asset-3 is approved as 26.3.2024 under the fourth proviso of Regulation 27(c)(i) of the 2023 IEGC Regulations.

Sharing of Transmission Charges

20. The Petitioner has submitted that the tariff of the transmission assets for the 2019-24 tariff period shall be recovered on a monthly basis in accordance with Regulation 57 of the 2019 Tariff Regulations and shared as per applicable 2020 Sharing Regulations, or as amended from time to time.

21. NHPC vide affidavit dated 24.6.2025 has raised the following issues with regard to the sharing of transmission charges:

a. NHPC did not request for Asset-2 and Asset-3

The planning and approval of Asset-2 and Asset-3, under the "*North East – Northern/ Western Interconnector – I Project*" were conducted by the Petitioner, following its assessments and norms provided by NERPC and the CEA. These norms focus on grid planning based on anticipated load and generation growth. No formal agreement delineating mutual responsibilities or timelines between NHPC and the Petitioner with respect to Asset-2 and Asset-3 was established. NHPC cannot be expected to match its commissioning with the commissioning schedule of Asset-2 and Asset-3, hence, it cannot be liable for related transmission charges or performance-linked claims. Any attempt to impose obligations on NHPC from unilateral development is unfounded. Further, the Assets appear to have been developed as part of the regional grid-strengthening project, without any firm generation-linked requirements and without NHPC being identified as a beneficiary. Therefore, charges arising from these assets must be recovered from beneficiaries, not from NHPC, as NHPC was neither consulted nor bound.

b. Absence of Consensus ad Idem (Meeting of Minds)

There is no meeting of minds between NHPC and the Petitioner in respect of development, commissioning, and utilisation of Asset-2 and Asset-3. The Petitioner has failed to coordinate on any fixed timeline or obligation to match its Asset-2 and Asset-3 with that of NHPC's generation. NHPC's participation in the NERPC, TCC or coordination meetings cannot be construed as indicative of agreement or meeting of minds with respect to the matching of the time frame of commissioning. Further, in the 19th JCC meeting held on 22.9.2023, it was expressly recorded in the Minutes of Meeting (MoM) that there was a lack of clarity between the Petitioner and NHPC, regarding the charging schedule and operational readiness of the Lower Subansiri transmission line. CTUIL requested the Petitioner and NHPC to resolve the issue through bilateral discussions and subsequently inform CTUIL of the mutually agreed date for charging the said line. This clearly indicates that no definitive understanding had been reached at that time regarding the utilisation of the concerned transmission asset. Accordingly, in the absence of such clarity, no liability may be fastened upon NHPC for payment of transmission charges. It was only on 7.3.2023 that a formal Connection Agreement was executed between NHPC, PGCIL, and CTUIL, and it indicated the commissioning schedule for NHPC's project. However, it is clear that the Petitioner has not acted or coordinated the planning of its assets in consultation with NHPC, and unilaterally proceeded to commission its assets as per its own convenience

c. Delay on the part of PGCIL in completing transmission works

The Petitioner communicated its readiness to charge the transmission lines to NHPC only on 28.3.2023, despite knowing that NHPC's commissioning

schedules were delayed due to *force majeure* conditions. NHPC's response on 25.2.2023 and 7.3.2023 highlighted that certain works on Asset-2 and Asset-3 were incomplete. NHPC facilitated gantry access and coordinated with Petitioner's site team, indicating that final readiness was achieved only contemporaneously with the generator's preparatory activities and not before. Thus, Petitioner's claim that the transmission system was ready, significantly earlier, is misleading and undermines its position that NHPC caused commercial non-operation. Further, the Petitioner has not shown any loss solely due to NHPC's delays, as the transmission network is designed for future growth and system strengthening, whereas it contributed to delays and failed to coordinate properly, defeating the precondition of transmission readiness versus a delayed generator. NHPC maintained transparency, complied with regulations, and acted in good faith. Delays, unavoidable and due to *force majeure*, were communicated promptly. Therefore, the Petitioner cannot impose liability or claim deemed COD benefits by alleging NHPC's non-readiness when NHPC has kept stakeholders informed.

d. Delay in commissioning of generation by NHPC due to *force majeure* events

NHPC cannot be held liable for delays due to landslide or force majeure events, which affected the commissioning timeline unilaterally set by the Petitioner, without consultation. The area around NHPC's project experienced unpredictable weather and heavy rainfall, resulting in delays despite NHPC's earnest endeavours. NHPC has consistently updated stakeholders via NERPC and TCC meetings over the last decade, addressing constraints in the 25th and 27th meetings, revising unit commissioning to May 2025, possibly extending to

May 2026. The *force majeure* impacts and NHPC's diligence demonstrate that there is no basis for the Petitioner's claims against NHPC.

22. The Petitioner vide affidavit dated 8.7.2025 has submitted the following clarifications with regard to the issues raised by NHPC:

a. NHPC did not request for Asset-2 and Asset-3.

The necessity and approval of Asset-2 and Asset-3 for the evacuation of power from the Lower Subansiri HEP were undisputedly accepted in all planning meetings and by the CEA. NHPC's argument that it did not "request" these assets is contrary to the record and the approved transmission plan. The CTUIL letter dated 9.5.2022, granting connectivity, states the following:

> *"We write with reference to your application no. 120000037 dated 28.02.2022 for grant of 2000 MW Connectivity to M/s NHPC Ltd. for its Subansiri Lower (8x250MW) HEP in Arunachal Pradesh.*
>
> *...*
>
> *The transmission system for evacuation of power from Lower Subansiri HEP was agreed in the 2nd meeting of Standing Committee Meeting on Power System Planning of NER held on 25-06-2008, which includes the immediate evacuation system viz. Lower Subansiri - Biswanath Chariali 400 kV 2xD/c (Twin lapwing). As agreed in the 5th CMETS-ER, 181 D/c line of Lower Subansiri - Biswanath Chariali 400kV 2xD/c (Twin lapwing) lines is expected by August 2022 by POWERGRID and Connectivity is granted from 31-08-2022 as requested by NHPC. The liability towards any mismatch in commissioning of generation (by NHPC) or/and Lower - Biswanath Chariali 400 kV Die (Twin Lapwing) line (by POWERGRID), shall be dealt in terms of CERC Sharing Regulations, 2020."*

It is clear that the NHPC requested the transmission system for the immediate evacuation of power from its Lower Subansiri HEP, refuting claims of lack of consultation or awareness. Timely discussions were held, and NHPC consistently provided commissioning schedules.

b. Absence of consensus ad idem (meeting of minds)

The Petitioner, at regular intervals, coordinated and sought the timelines for the commissioning of the units of NHPC. On 9.5.2022, CTUIL issued a Connectivity Approval to NHPC and informed of the grant of 2000 MW connectivity to NHPC

for its Subansiri Lower (8x250 MW) HEP in Arunachal Pradesh. The allegation by NHPC that there was no consensus between NHPC and Petitioner is contrary to the communication of CTUIL. CTUIL granted the connectivity only since NHPC applied for the same vide its letter dated 28.2.2022. Therefore, NHPC's allegation that there was no meeting of minds when Connectivity was granted to NHPC by CTUIL on 9.5.2022 cannot be accepted. A special meeting was held on 12.2.2024 to discuss operations for Line-II, affirm readiness, timelines and acknowledge regulatory provisions. The records refute NHPC's claims of unilateral actions and confirm coordination. NHPC's contention that the deemed COD lacks foundation due to established meeting records. Further, it was recorded in the 20th JCC meeting held on 26.12.2023 that the NHPC shared the status of the project and the commissioning of all the units is scheduled to be completed by May 2025 and that the final grant of connectivity under GNA Regulations was also issued on 10.10.2023, therefore, there is no merit in the NHPC's allegation of lack of clarity between the Petitioner and NHPC with respect to charging schedule recorded in the Minutes of 19th JCC meeting held on 22.9.2023. If there was any confusion or lack of clarity, NHPC should have sought clarification, but it did not. Therefore, the present contention is merely an afterthought on the part of NHPC and ought to be rejected.

c. Delay on the part of PGCIL in completing transmission work:

Numerous MoMs, communications, and notices show that NHPC was aware of the readiness of the transmission assets and was kept informed of construction and charging milestones. NHPC's repeated revisions to its commissioning schedule, due to delays on its part, including site-specific geological conditions, were accommodated to the maximum extent possible by the Petitioner. However, the transmission system cannot be kept in abeyance indefinitely. Further, the

transmission system Part C, i.e., the 400 kV DC Lower Subansiri – BNC lines of the Petitioner, is solely for the use of NHPC and has not been constructed by it for any other purpose/ use.

d. Delay in commissioning of generation by NHPC due to *force majeure* events

NHPC's claim of *force majeure* cannot be addressed in the instant petition. If NHPC seeks to invoke *force majeure*, it must do so independently in appropriate proceedings. Such a claim cannot be relied upon as a defence to deny or defer the Petitioner's claim in the present petition. As per Regulation 27(C)(i) of 2023 IEGC Regulations and Regulation 5(2) of the 2019 Tariff Regulations, if regular service is delayed due to commissioning issues not attributable to the licensee, an appropriate petition should be filed before the Commission for its approval. The only issue to be adjudicated by the Commission is whether the Petitioner is entitled to claim deemed COD, having furnished all the necessary documents. The contentions raised by NHPC in its reply are to disentitle the Petitioner from claiming the same.

23. NHPC has also filed its additional reply vide affidavit dated 15.9.2025, and the submissions made by NHPC are as follows:

a. Applicability of Regulation 13(7) of the 2020 Sharing Regulations

As per the Final Grant of Connectivity issued by CTUIL on 10.10.2023, to NHPC for the Subansiri Lower Hydro Electric Project (2000 MW), the ATS has been expressly recorded as "Nil". Since no specific transmission system is identified as ATS in the Grant of Connectivity, the regulatory treatment of transmission charges is governed by Regulation 13(7) of the 2020 Sharing Regulations. Since the Petitioner's transmission system is not designated as ATS for NHPC's generating station and no augmentation was undertaken for the purpose of

providing connectivity to NHPC, transmission charges, if applicable, shall be fixed at ₹3000/MW/month from the start date of connectivity, and not from the COD of any transmission element. The start dates of connectivity of Unit-I, Unit-2 and Units-3 to 8 are 17.2.2024, 29.2.2024 and 31.3.2024, respectively.

The start dates were contractually set by CTUIL, binding NHPC and PGCIL, negating liability for transmission charges prior to those dates, irrespective of prior commercial operation. The Petitioner's effort to retrospectively impose liability from 2.4.2023 or 26.3.2024, is legally flawed as it is against Regulation 13(7) of the 2020 Sharing Regulations, it disregards the fact that CTUIL issued contractual connectivity start date, which solely determines NHPC's liability, incorrectly associating the Petitioner's transmission system with NHPC's project, without a formal designation in the Grant of Connectivity or regulatory orders. The Commission has ruled that transmission charges under Regulation 13(7) of the 2020 Sharing Regulations apply only from the connectivity start date via existing ISTS infrastructure. Therefore, no financial liability arises before this date, regardless of any transmission element commissioning status. The Asset-2 and Asset-3 are not solely for the Lower Subansiri HEP of NHPC. The Lower Subansiri Transmission Project was created as a common infrastructure to evacuate power from multiple hydroelectric projects, including the Siang Middle HEP (1000 MW). The project involved developing two high-capacity 400 kV double-circuit lines ending at the Biswanath Chariali Pooling Sub-station. These were designed to support power evacuation for various future generation projects, including the Siang Middle HEP (1000 MW), expected to be commissioned during the 12th Five-Year Plan period. The transmission infrastructure's technical specifications and scale indicate it was not intended solely for NHPC's generation station. As such, the Asset-2 and Asset-3 are not

dedicated transmission systems for NHPC. Transmission charges can only be imposed in accordance with the connectivity start dates under Regulation 13(7) of the 2020 Sharing Regulations, not beforehand.

b. Without prejudice, NHPC's liability to bear transmission charges, if at all, can arise only post 26.3.2024 and not before.

Even assuming that the Petitioner's transmission system is "*associated*" with NHPC's generation project, even then, NHPC's liability to bear the transmission charges, if any, can arise only after the COD of the last transmission element of the ATS, which in the present case is 26.3.2024. Any claim for charges prior thereto is contrary to the governing regulatory framework and contractual arrangements. As per Regulation 2(g) of the 2020 Sharing Regulations, the COD of the ATS mean COD of the last transmission element of the ATS. Therefore, the ATS cannot be deemed operational for recovery of transmission charges until all elements achieve COD. Asset-2 achieved COD on 2.4.2023, whereas Asset-3 achieved COD on 26.3.2024. Therefore, the COD of the ATS cannot be earlier than 26.3.2024. Further, as per Regulation 13(3) of the 2020 Sharing Regulations, Yearly Transmission Charges are applied only when the generating station or its individual units are delayed in achieving COD and the ATS has already achieved COD. A conjoint reading of Regulation 2(g) and Regulation 13(3) of the 2020 Sharing Regulations shows that the transmission charges are not leviable element-wise but only once the ATS as a whole is commissioned, and any liability upon NHPC must be co-extensive with and contingent upon the ATS achieving COD, which occurred only on 26.3.2024. Further, the scheduled connectivity start dates were fixed and accepted by stakeholders, thereby precluding any liability arising before those dates. The Petitioner's unilateral notices under Regulation 5(2) of the 2019 Tariff Regulations cannot impose

binding liability on NHPC, as they lacked CTUIL concurrence and bilateral resolution efforts.

24. The Petitioner vide affidavit dated 25.9.2025 has filed its rejoinder to the additional reply filed by NHPC. The gist of the submissions made by the Petitioner is as follows:

a. Applicability of Regulation 13(7) of the 2020 Sharing Regulations

The Final Grant of Connectivity, at point "*(i) Scheme Details",* records the existing transmission system of the Petitioner as follows:

> *"Existing Transmission system includes 400 kV Lower Subansiri - Biswanath Chariali (Twin Lapwing) 2 x D/c lines under ISTS. 1st D/c already commissioned, and 2nd D/c is expected to be ready by Dec 2023"*

Further, the Connectivity Grant letter dated 9.5.2022, the "Transmission System Required for Connectivity" also records as follows:

"6d	*Transmission System Required for Connectivity*		*Lower Subansiri HEP - Biswanath Chariali (POWERGRID) 400kV 1st D/c (Twin Lapwing) line (ckt-I & ckt-II)"*

NHPC cannot selectively read one aspect of the Final Grant of Connectivity. Further, the grant letter was issued during the transitional phase of implementation of the GNA Regulations commencing in October 2023. It is evident that the subject assets implemented by the Petitioner were intended for immediate evacuation of power from NHPC's Lower Subansiri Project; the submissions advanced by NHPC are devoid of merit and are liable to be rejected.

NHPC's interpretation of Regulation 13(7) of the 2020 Sharing Regulations that transmission charges are leviable only from the start date of connectivity when the grant is through existing ISTS infrastructure is incorrect and denied. There is no question of the applicability of Regulation 13(7) of the 2020 Sharing Regulations when the primary question is charges *qua* mismatch, which has to be considered. In the present case, a substantial investment was made through

a specifically approved scheme to evacuate electricity from the Lower Subansiri HEP. Accordingly, the liability of NHPC to bear 100% liability for transmission charges from the COD of Asset–2 and Asset-3, is consistent with the statutory Regulations of the Commission, and read with the Grant of Connectivity by CTUIL, which was never challenged by NHPC. The transmission lines being planned with high-capacity conductor so that the system can be utilised for the evacuation of power from future projects does not mean that the transmission assets are not for the immediate evacuation of power from the Lower Subansiri HEP.

a. **Without prejudice, NHPC's liability to bear transmission charges, if at all, can arise only post 26.3.2024 and not earlier**

The interpretation sought by NHPC would render nugatory the regulatory scheme, that expressly permits declaration of COD of transmission elements even when the connecting generator is delayed in terms of Regulation 5(2) of the 2019 Tariff Regulations. When there is a mismatch between the commissioning of a transmission asset and its associated generating station, the entity responsible for the delay is liable to bear the transmission charges for the entire mismatch period, i.e., from the deemed COD as approved by the Commission till the actual COD of the generating station. These provisions are intended to protect the financial interests of the transmission licensee, whose assets are ready and remain stranded due to no fault of its own.

NHPC's reliance on Regulation 2(g) of the 2020 Sharing Regulations is misplaced. The definition of COD of ATS applies in the context of COD of last element of the ATS, to deal with the specific cases contained in Regulation 13 (3), (4) and (5) of the 2020 Sharing Regulations and it cannot be used to defeat the purpose of providing for a deemed COD under the 2019 Tariff Regulations, or for denial of transmission charges to a transmission licensee once an element

is ready for commercial operation under Regulation 5(2) of the 2019 Tariff Regulations, which is applicable to the instant case where the generating station is not ready, by permitting the declaration of COD of the transmission asset with the Commission's approval. The definition in Regulation 2(g) of the 2020 Sharing Regulations cannot be extended to a case of deemed COD declaration under the 2019 Tariff Regulations.

NHPC's reliance on Regulation 13(3) of the 2020 Sharing Regulations is untenable as the subject transmission system is for the immediate evacuation of power from NHPC's Lower Subansiri HEP. NHPC's contention that the transmission charges are leviable only upon COD of the ATS as a whole ignores the element-wise structure of the tariff recovery framework. Since NHPC is relying on the letter of Final Grant of Connectivity to wriggle out of its obligation to pay the transmission charges, the same letter reads that the liability due to mismatch in commissioning of generation (by NHPC) and Lower Subansiri - Biswanath Chariali 400 kV 2xD/C (Twin Lapwing) line under ISTS shall be governed as per the 2020 Sharing Regulations for the earlier granted Connectivity of 2000 MW under the 2009 Connectivity Regulations. NHPC's attempt to rely on subsequent connectivity grants, selective minutes of meetings, and strained interpretations of the Sharing Regulations is an attempt to avoid liability for its own generation delays. Petitioner's declaration of COD of Asset-2 and Asset-3 is consistent with the law and supported by documentary evidence. NHPC's objections deserve to be rejected.

25. We have considered the submission of the Petitioner and NHPC. We proceed to analyse the contentions of NHPC and the clarifications given by the Petitioner regarding the liability of transmission charges in respect of Asset-2 and Asset-3 in the subsequent paragraphs.

a. NHPC did not request for Asset-2 and Asset-3

The basic contention of NHPC is that Asset-2 and Asset-3, which form part of the "North East – Northern/Western Interconnector – I Project", were developed as per the planning norms under the broad guidance of the NERPC and CEA, as part of a regional grid strengthening project, and it is not linked to NHPC's Lower Subansiri HEP. In response, the Petitioner has submitted that the necessity and approval of Asset 2 and Asset-3 for the evacuation of power from the Lower Subansiri HEP were undisputedly accepted in all planning meetings and by the CEA. As per the MoM of 6th TCC and 6th NERPC held on 7th and 8th August 2008, the 400 kV D/C Lower Subansiri - Biswanath Chariali transmission line is to be developed for immediate evacuation of power from Lower Subansiri HEP, with the transmission charges to be shared by the beneficiaries of Lower Subansiri HEP in proportionate to their allocation from the generation project. It is noted that a copy of said MoM was also marked to the concerned authority of NHPC. The relevant extract of the said minutes of the meeting is as follows:

(4) Transmission system under ATS of Subansiri Lower HEP, Kameng HEP and NER/ER – NR/WR interconnector Scheme:

NER transmission system for Subansiri Lower and Kameng with transmission charges to be pooled with in the regional system of NER:

- 2x315 MVA, 400/220 kV ICT at Misa (to be covered under Kameng ATS scheme)
- Biswanath Chariyali (PG) – Bishwanath Chariyali (AEGCL) 132 KV D/C interconnecting line (to be covered under NER – NR/WR interconnector Scheme.
- 2x200 MVA, 400/132/33 kV transformers at Biswanath Chariyali (to be covered under interconnector scheme)

o ATS/Inter-regional System for Subansiri Lower and Kameng HEPs

Transmission system for immediate evacuation of power from Subansiri Lower with transmission charges to be shared by the beneficiaries of Subansiri Lower in proportion to their allocations from the generation project.

- L. Subansiri-B. Chariyali 400 kV 2xD/C line (twin lapwing).

$ Transmission system for immediate evacuation of power from Kameng with transmission charges to be shared by the beneficiaries of Kameng in proportion to their allocations from the generation project.:

- Kameng-Balipara 400 kV D/C line
- Balipara-Bongaigaon 400 kV D/C line (Quad conductor) with 30% Fixed Series Compensation at Balipara end

26. CTUIL vide letter dated 9.05.2022 has been granted connectivity, and the relevant extracts of the same areas under:

Intimation for Grant of Connectivity

1	**Intimation No.** **Date:**	CTU/NE/05/1200003743 09-05-2022
2	**Ref. Application No.** **Date:**	1200003743 28-02-2022
3	**Name of the Applicant**	NHPC Ltd.
4	**Address for Correspondence**	Executive Director NHPC Ltd. NHPC Office Complex, Sector-33 Faridabad, Haryana
5	**Nature of the Applicant** Generator (other than captive) Captive Generator Bulk Consumer Solar Park Developer	Generator (Hydro)
6	**Details for Connectivity**	
6a	Capacity (MW) for which connectivity is granted	2000MW
6b	Point at which Connectivity is granted	400kV generation switchyard of Subansiri Lower HEP (NHPC)
6c	Date from which connectivity is granted	31-08-2022
6d	Transmission System Required for Connectivity	Lower Subansiri HEP – Biswanath Chariali (POWERGRID) 400kV 1st D/c (Twin Lapwing) line (ckt-I & ckt-II)
6e	Implementing Agency for transmission system required for connectivity	ISTS licensee (POWERGRID)
6f	Agencies between which agreement is to be signed for implementation of transmission system required for connectivity	Not required.
7	**Transmission Charges Applicable for the dedicated line**	As per CERC (Sharing of ISTS Charges & Losses) Regulations, 2020 & amendment(s) thereof
8	**Amount (in Rupees) for which Bank Guarantee (BG) is to be provided by the applicant**	Not required.
9	**Location of the Generating Station** Nearest Village / Town:	North Lakhimpur

District:	Kamle (erstwhile Lower Subansiri)
State:	Arunachal Pradesh
Latitude:	27°33'15" N
Longitude:	94°15'30" E

10 Installed Capacity of the Generating Station

Unit-I :	250MW
Unit-II :	250MW
Unit-III :	250MW
Unit-IV :	250MW
Unit-V :	250MW
Unit-VI :	250MW
Unit-VII :	250MW
Unit-VIII :	250MW

11 Commissioning Schedule of the Generating Station

Unit-I :	31-08-2022
Unit-II :	31-08-2022
Unit-III :	30-06-2023
Unit-IV :	30-06-2023
Unit-V :	31-07-2023
Unit-VI :	31-07-2023
Unit-VII :	31-08-2023
Unit-VIII :	31-08-2023

Note:

1. The transmission system for evacuation of power from Lower Subansiri HEP was agreed in the 2nd meeting of Standing Committee Meeting on Power System Planning of NER held on 25-06-2008, which includes the immediate evacuation system viz. Lower Subansiri – Biswanath Chariali 400kV 2xD/c (Twin lapwing). As agreed in the 5th CMETS-ER, 1st D/c line of Lower Subansiri – Biswanath Chariali 400kV 2xD/c (Twin lapwing) lines is expected by Aug 2022 by POWERGRID and Connectivity is granted from 31-08-2022 as requested by NHPC. The liability towards any mismatch in commissioning of generation (by NHPC) or/and Lower - Biswanath Chariali 400kV D/c (Twin Lapwing) line (by POWERGRID), shall be dealt in terms of CERC Sharing Regulations, 2020.
2. The Applicant shall furnish additional details to CTU for signing of "Connection Agreement" as per FORMAT-CON-4. These details are to be furnished to CTU at least 2 (two) years prior to physical interconnection. Delayed submission may affect timely

interconnection and all liabilities shall be on account of the connectivity grantee. CTU will process the above information and will intimate the connection details pursuant to which the applicant shall sign "Connection Agreement" as per FORMAT-CON-6 with CTU prior to the physical inter-connection with grid. In case, the connectivity is granted to the ISTS of an inter-state transmission licensee other than CTU, a tripartite agreement is to be signed among the applicant, CTU and such inter-state transmission licensee, in line with the provisions of the regulations.

3. Applicant shall have to inform likely date of synchronization, quantum and period of injection of infirm power before being put into commercial operation to the SLDC/RLDC concerned at least one month in advance and obtain their concurrence for the same. It is the Connectivity grantee's responsibility to avoid any delay in submission of above information.

4. As per the Connectivity Regulations, the Grant of Connectivity shall not entitle an applicant to inter-change any power with the grid unless it obtains LTA, MTOA or STOA. Further, since MTOA & STOA are granted on the margins available in the system and assured transfer of power is granted only with the LTA for which system strengthening may be required. Therefore, the applicants are advised to apply for the LTA well in advance to assure power evacuation & transfer to its beneficiaries under LTA.

5. Applicant shall provide Special Protection Scheme (SPS) if required, integrated into their system. Details of SPS and its setting shall be worked out by the applicant in consultation with NERLDC/ NERPC/ CTU separately.

6. That the applicant shall keep the CTU and RLDC/NLDC indemnified at all times and shall undertake to indemnify, defend and keep the CTU, RLDC/NLDC harmless from any and all damages, losses, claims and actions including those relating to injury to or death of any person or damage to property, demands, suits, recoveries, costs and expenses, court costs, attorney fees, and; all other obligations by or to third parties, arising out of or resulting from the grant of Connectivity.

7. The applicant shall abide by all provisions of (i) the Electricity Act, 2003; (ii) the CERC (Grant of Connectivity, Long-term Access and Medium-term Open Access in inter-State Transmission and related matters) Regulations, 2009 / Detailed Procedure; (iii) Central Electricity Authority (Technical Standards for Connectivity to the Grid) Regulations, 2007; (iv) Central Electricity Authority (Technical Standards for construction of Electrical Plants and Electric Lines) Regulations, 2010; (v) Central Electricity Authority (Grid Standard) Regulations, 2010; (vi) Central Electricity Authority (Safety requirements for construction, operation and maintenance of Electrical Plants and Electrical Lines) Regulations, 2011; (vii) Central Electricity Authority (Measures relating to Safety and Electricity Supply) Regulations, 2010; (viii) Central Electricity Authority (Installation and Operation of Meters) Regulations, 2006; (ix) Indian Electricity Grid Code Regulation; and their respective amendments thereof; and any other applicable Standards/Regulations/Rules.

9/5/2022

Place: Gurugram

Date: 09-05-2022

Name: Rajesh Kumar

Designation: General Manager

27. It is clear from the above MoM dated 7/08.08.2008 that 400 kV D/C Lower Subansiri - Biswanath Chariali Transmission Line-1 & 2, was planned as transmission system for immediate evacuation of power from the NHPC's Lower Subansiri HEP with transmission charges to be shared by the beneficiaries of Lower Subansiri, in proportion to their allocation from the generation project.

28. CTUIL vide letter dated 9.5.2022 has granted Connectivity to M/s NHPC with start date of connectivity as 31.08.2022. In the grant of connectivity dated 09.05.2022 under note 1 , the following is mentioned:

> *The transmission system for evacuation of power from Lower Subansiri HEP was agreed in the 2nd meeting of Standing Committee Meeting on Power System Planning of NER held on 25-06-2008, which includes the immediate evacuation system viz. Lower Subansiri - Biswanath Chariali 400kV 2xD/c (Twin lapwing). As agreed in the 5th CMETS-ER, 1st Die line of Lower Subansiri - Biswanath Chariali 400kV 2xD/c (Twin lapwing) lines is expected by Aug 2022 by POWERGRID and Connectivity is granted from 31-08-2022 as requested by NHPC. The liability towards any mismatch in commissioning of generation (by NHPC) or/and Lower - Biswanath Chariali 400kV Die (Twin Lapwing) line (by POWERGRID), shall be dealt in terms of CERC Sharing* Regulations, 2020.

29. The connectivity intimation as well as the minutes of the meeting of TCC/ NERPC meeting has been made to M/S NHPC, which implies that M/s NHPC, was well aware of the planning of the transmission system for the Lower Subansiri HEP. Therefore, the contention of NHPC that Asset-2 and Asset-3 were developed by the Petitioner based on its own assessments and planning norms under the broad guidance of the NERPC and CEA, and that NHPC did not request the same, has no merit, and thus, is rejected.

b. Absence of consensus ad Idem (Meeting of Minds)

NHPC has contended that there is no valid and binding contractual agreement with the Petitioner in respect of the development, commissioning and utilisation of Asset-2 and Asset-3 as a transmission system for the Lower Subansiri HEP. NHPC has submitted that the same was acknowledged at the 19th JCC meeting held on 22.9.2023, and CTUIL requested both parties to discuss the matter bilaterally for a mutual agreement on the date for charging of the line. The Petitioner has submitted that it has coordinated regularly with NHPC and sought the timelines for the commissioning of the units of Lower Subansiri HEP. Further,

CTUIL on 9.5.2022 granted the connectivity to NHPC for the Lower Subansiri Project, with the 400 kV D/C Lower Subansiri - Biswanath Chariali Transmission Line-1 & 2. Further, as regards the lack of clarity between Petitioner and NHPC recorded in the Minutes of 19th JCC meeting held on 22.9.2023, the Petitioner has submitted that in 20th JCC meeting held on 26.12.2023, it was recorded that the NHPC shared the status of the project and all the units are scheduled to be completed by May 2025 and that the final grant of connectivity under GNA Regulations was also issued on 10.10.2023.

30. We have perused the documents placed on record. It is observed that in the 19th JCC meeting held on 22.9.2023, as well as in the 20th JCC meeting held on 26.12.2023, the "400 kV D/C Lower Subansiri - Biswanath Chariali transmission line" is considered as the transmission system for Lower Subansiri HEP, and the progress of both i.e. Lower Subansiri HEP and transmission system was discussed and updated by the Petitioner and NHPC. Further, as regards the comment that "no clarity between NHPC & the Petitioner" in the 19th JCC meeting, it is observed that the meeting was regarding the charging of 400 kV D/C Lower Subansiri - Biswanath Chariali Transmission Line-1 and CTUIL requested the Petitioner and NHPC to discuss between themselves and inform CTUIL of the charging of the transmission line. Further, at the 20th JCC meeting, NHPC shared the progress of its generation project. The relevant extract of minutes of the meetings is as follows:

19th JCC meeting

Sl. No.	Name of Grantee	Connectivity/ Stage-II Quantum (MW)	Gen Comm. Schedule (as per St-II/ CON-3 intimation)	Comm. Schedule (as per previous meeting)		Comm. Schedule (as per current meeting)		Remarks
				Under Applicant scope Gen Commissioning / Connectivity line schedule	Transmission System	Under Applicant scope Gen Commissioning / Connectivity line schedule	Transmission System (ISTS)	
								Forest land of 4577.84Ha diverted for construction of Dibang HEP Multipurpose Project.
2.	NHPC Ltd. 8x250MW Lower subhansiri HEP, Arunachal Pradesh	2000	U1: 250: 31.08.2022 U2: 250: 31.08.2022 U3: 250: 30.06.2023 U4: 250: 30.06.2023 U5: 250: 31.07.2023 U6: 250: 31.07.2023 U7: 250: 31.08.2023 U8: 250: 31.08.2023	Unit I: 28.02.24 Unit II: 28.02.24 (Best effort Dec'23 for Unit-I & Unit-II) Unit III: 31.03.24 Unit IV: 31.05.24 Unit V: 30.06.24 Unit VI: 20.08.24 Unit VII:30.09.24 Unit VIII: 20.10.24	**Transmission System:** Biswanath Chariali (PG) 400kV 1st D/c (twin lapwing) line along with associated bays at Biswanath Chariali end *As informed by POWERGRID vide letter dtd. 01.04.2023, 1st D/c line charged and put on continuous use with effect from 31.03.2023.* Line-2 (2nd D/c): Aug'23	Unit I: 17.02.24 Unit II: 29.02.24 Unit III: 31.03.24 Unit IV: 17.07.24 Unit V: 06.12.24 Unit VI: 14.03.25 Unit VII:28.05.25 Unit VIII: 31.05.25	**Transmission System:** Biswanath Chariali (PG) 400kV 1st D/c (twin lapwing) line along with associated bays at Biswanath Chariali end. *As informed by POWERGRID vide letter dtd. 01.04.2023, 1st D/c line charged and put on continuous use with effect from 31.03.2023.* Line-2 (2nd D/c): Anti-theft charging expected in Oct'23	Developer vide email dated 18.09.2023 submitted the progress status of its generation project and also updated in meeting. NHPC informed that execution of all major works at generation project are in full swing. NHPC informed that Connection Agreement signed on 07.03.2023. In-principle grant of Connectivity intimated on 31.08.2023. There is no clarity between POWERGRID and NHPC regarding the date of charging of Lower Subhansiri-Biswanath Chariali 400kV 1st D/c line. CTUIL requested POWERGRID and NHPC to discuss the matter bilaterally and inform the date of charging of said line to CTUIL.

20th JCC meeting

2.	NHPC Ltd. 8x250MW Lower subhansiri HEP, Arunachal Pradesh (500MW -Under GNA Regulation 37.1;	2000	Unit I: 28.02.24 Unit II: 28.02.24 (Best effort Dec'23 for Unit-I & Unit-II) Unit III: 31.03.24 Unit IV: 31.05.24 Unit V: 30.06.24 Unit VI: 20.08.24 Unit VII:30.09.24 Unit VIII: 20.10.24	**Transmission System:** Biswanath Chariali (PG) 400kV 1st D/c (twin lapwing) line along with associated bays at Biswanath Chariali end *As informed by POWERGRID vide letter dtd. 01.04.2023, 1st D/c line*	Unit I: 17.02.24 @ Unit II: 29.02.24@ Unit III: 31.03.24 Unit IV: 17.07.24 Unit V: 06.12.24 Unit VI: 14.03.25 Unit VII:28.05.25 Unit VIII: 31.05.25	**Transmission System:** Biswanath Chariali (PG) 400kV 1st D/c (twin lapwing) line along with associated bays at Biswanath Chariali end: *POWERGRID vide letter dtd. 01.04.2023 has informed that 1st D/c line has been charged and put on continuous use with*	Unit 1 (250MW)- 17.02.2024* (Intimation for final grant of Connectivity issued on 10.10.2023) Unit 2 (250MW)- 29.02.2024* (Intimation for final	Developer updated the status during meeting and vide email dated 27.12.2023 also submitted the progress status of its generation project. @A massive landslide occurred on 27.1.2023 has impacted the commissioning schedule of first 02 Units. An expert Committee has been constituted by MoP for assessing ground situation, which has visited site and the report is awaited. The schedule for commissioning of 1st & other Units will be finalized and shared after the implementation of the recommendation of the Expert Committee.

Page 3 of 13

31. **NHPC vide letter dated 6.11.209 has intimated the following:**

एन एच पी सी लिमिटेड
NHPC Limited
ISO-9001 & 14001 Certified Company

संख्या: एनएच /पीएमएसजी/का.नि/2019 / 1725 दिनांक: 06.11.2019

श्री अनूप सिंह
वरिष्ठ महाप्रबंधक
पावर ग्रिड कारपोरेशन ऑफ इंडिया लिमिटेड,
"सौदामिनीरफी", प्लॉट सं 2, सैक्टर-29, गुड़गाँव – 122001

विषय: 8x250 मेगावाट लोअर सुबनसिरी हाइड्रो प्लांट की बिजली की निकासी के लिए 2x400 डी / सी सुबानसिरी-बिश्वनाथ चाराली लाइन के संतुलन अनुबंध कार्य का पुनरुद्धार।के संबंध में।
Revival of balance contract work of 2x400 D/C Subansiri-Biswanath Chariali line for the evacuation of power of 8x250 MW Lower Subansiri Hydro Plant.

संदर्भ: पावर ग्रिड कारपोरेशन ऑफ इंडिया लिमिटेड ई मेल दिनांक 11.10.2019

महोदय,

In reference to PGCIL email dated 11.10.2019, Unit wise commissioning schedule proposed in respect of Subansiri Lower HE Project is as under:

Unit-1 & 2 : 31st May 2023
Unit-3 & 4 : 30th June 2023
Unit-5 & 6 : 31st July 2023
Unit-7 & 8 : 31st August 2023

The above shall be subject to the provisions of mutually signed Indemnification Agreement between NHPC and POWERGRID for the subject project.

धन्यवाद,

भवदीय,

(अभय कुमार सिंह)
कार्यपालक निदेशक (पीएमएसजी)

32. The Respondent, NHPC, also applied for Connectivity, and CTUIL vide letter dated 9.5.2022, has granted connectivity wherein the commission schedule of the generating station is also mentioned.

33. It is noted that NHPC applied for connectivity, and CTUIL granted it. Further, Petitioner and NHPC signed a connection agreement. The project's status was also discussed in various JCC meetings, during which NHPC provided an update on the generation project. NHPC has not produced any document to show that Asset-2 and

Asset-3 are not required by NHPC. Thus, the contention of M/s NHPC regarding a absence of consensus ad Idem is rejected.

b. Delay in commissioning of generation by NHPC due to *force majeure* events

The NHPC has submitted that its Project was delayed due to *force majeure* events, such as unpredictable weather and heavy rainfall, and therefore, NHPC cannot be held liable for transmission charges for such delays. The Petitioner has submitted that the NHPC's claim of *force majeure* cannot be addressed in the instant petition. If NHPC seeks to invoke *force majeure*, it must pursue it independently in appropriate proceedings. Such a claim cannot be relied upon as a defence to deny or defer the Petitioner's claim in the present petition. We have considered the submission of the Petitioner and the Respondent(s).

34. We agree with the contention of the Petitioner that the instant petition is filed for the determination of tariff in respect of its own transmission assets. Any delay on account of force *majeure* events encountered by the NHPC in commissioning of the Lower Subansiri project cannot be adjudicated in the present petition filed by the Petitioner and may be examined in proceedings to be initiated by NHPC separately. Therefore, we are of the view that the contentions of NHPC regarding delays in commissioning due to force majeure events lack merit and are hereby rejected.

d. Applicability of Regulation 13(7) of the 2020 Sharing Regulations

NHPC has contended that, as per the final Grant of Connectivity issued by CTUIL on 10.10.2023, in respect of the Lower Subansiri HEP (2000 MW), the ATS has been expressly recorded as "Nil". Since no specific transmission system is identified as ATS in the Grant of Connectivity, the transmission charges are governed by Regulation 13(7) of the 2020 Sharing Regulations. The transmission charges under Regulation 13(7) of the 2020 Sharing Regulations apply only from

the connectivity start date via the existing ISTS infrastructure. Transmission charges can only be imposed in accordance with the connectivity start dates under Regulation 13(7) of the 2020 Sharing Regulations, and not beforehand. NHPC has submitted that Assets 2 and 3 were not solely for the Lower Subansiri HEP of NHPC. The Lower Subansiri Transmission Project was created as a common infrastructure to evacuate power from multiple hydroelectric projects, including the Siang Middle HEP (1000 MW). The Petitioner has submitted that, as per the Final Grant of Connectivity, the Biswanath Chariali (Twin Lapwing) 2 x D/C lines under ISTS are the evacuation system for the Lower Subansiri HEP. The Petitioner has further submitted that there is no question of the applicability of Regulation 13(7) of the 2020 Sharing Regulations, when the primary question of charges *qua* mis-match has to be considered. The liability of NHPC to bear 100% liability of the transmission charges from the COD of Asset–2 and Asset-3 is consistent with the Commission's regulations and the Grant of Connectivity by CTUIL, which was never challenged by NHPC.

35. We have considered the submission of the Petitioner and NHPC. The Regulation 13(7) of 2020 Sharing Regulation provides as follows:

> *"(7) Where a Connectivity grantee other than a Renewable Power Park Developer has been granted Connectivity through existing transmission system and no augmentation of transmission system has been undertaken for such Connectivity, transmission charges at the rate of ₹3000/MW/month shall be payable by the Connectivity grantee from the start date of Connectivity, till operationalization of Long-Term Access."*

36. It is observed that the "400kV Lower Subansiri - Biswanath Chariali (Twin Lapwing) 2 x D/C transmission lines" were planned to be implemented for immediate evacuation of power from Lower Subansiri HEP, in the 6th TCC and 6th NERPC meeting held on 7th and 8th August 2008. Further, CTUIL in its Final Grant of Connectivity vide letter dated 10.10.2023 had mentioned that the dedicated transmission system for evacuation of power from Lower Subansiri HEP, i.e. 400 kV Lower Subansiri -

Biswanath Chariali (Twin Lapwing) 2 x D/c transmission lines, as existing ISTS, as the 1st D/C line was already charged and the 2nd D/C was expected to be ready by December 2023. It is quite clear that the 400 kV Lower Subansiri - Biswanath Chariali (Twin Lapwing) 2 x D/c transmission lines were planned only for the immediate evacuation of power from Lower Subansiri HEP owned by NHPC, and just mentioning of said line as existing ISTS in the final grant of connectivity by CTUIL does not change the purpose of implementation of aforementioned transmission line.

37. CTUIL intimated the in-principle grant of 250 MW Connectivity to NHPC vide letter dated 31.8.2023, and it is extracted hereunder:

सेंट्रल ट्रांसमिशन यूटिलिटी ऑफ इंडिया लिमिटेड
(पावर ग्रिड कार्पोरेशन ऑफ इंडिया लिमिटेड के स्वामित्व में)
(भारत सरकार का उद्यम)

CENTRAL TRANSMISSION UTILITY OF INDIA LTD.
(A wholly owned subsidiary of Power Grid Corporation of India Limited)
(A Government of India Enterprise)

Ref: CTU/NE/Conn-INT-1A /0420300007

Date: 31-08-2023

Shri Milind Ganesh Gokhale
Executive Director (T&RE)
NHPC Limited
NHPC Office Complex
Sector-33, Faridabad
Haryana -121003

Subject: Intimation for in-principle grant of 250MW (Unit-1) Connectivity to NHPC Limited for its Lower Subansiri (8x250MW) HEP in Arunachal Pradesh.

Dear Sir,

We write with reference to NHPC letter dated 03-05-2023 wherein NHPC Limited applied for transition of 250MW (Unit-1) LTA applied vide application no. 0420300007 dated 31-03-2023 under Connectivity Regulations, 2009, to Connectivity under Regulation 37.1 of GNA Regulations, 2022. NHPC requested the start date of connectivity for 250MW (Unit-1) as 30-09-2023. Further, vide letter dated 12-07-2023, NHPC has revised the start date of connectivity as 17-02-2024.

Earlier NHPC Ltd. was granted connectivity of 2000MW for its Lower Subansiri (8x250MW) vide CTU intimation letter dated 09-05-2022 under CERC Regulations, 2009. Thereafter, NHPC Limited had applied for 2 no. of LTAs for Unit-1 (250MW) and Unit-2 (250MW) in March 2023 under Connectivity Regulations, 2009. The transition cases were deliberated in the 19th and 21st Consultation Meeting for Evolving Transmission Schemes in North Eastern Region (CMETS-NER) held on 29-05-2023 and 27-07-2023 respectively, wherein it was agreed to grant Connectivity of 250MW (Unit-1) against the transition of said LTA application under Regulation 37.1 of GNA Regulations, 2022 through existing transmission system.

The liability due to mismatch in commissioning of generation (by NHPC) and Lower Subansiri – Biswanath Chariali 400kV 2xD/c (Twin Lapwing) line under ISTS shall continue to be governed as per Sharing Regulations, 2020 for the earlier granted Connectivity of 2000MW under Connectivity Regulations, 2009.

In view of the above and as per deliberations in the 19th & 21st CMETS-NER meetings, intimation for in-principle grant of 250MW (Unit-1) Connectivity to NHPC Limited for its Lower Subansiri (8x250MW) in Arunachal Pradesh is enclosed herewith.

Thanking you,

Yours sincerely

31/08/2023

Rajesh Kumar
Sr. General Manager

Encl.: as above

38. As per the CTUIL letter dated 31.8.2023, it is clear that the liability of mismatch in commissioning of generation and Lower Subsansiri - Biswanath Chariali 400 kV D/C Transmission Lines under ISTS shall continue to be governed as per the 2020 Sharing Regulations for the earlier granted connectivity of 2000 MW under the 2009 Connectivity Regulations.

39. Therefore, we do not find any merit in the contention of NHPC that the sharing of transmission charges for the mismatch period in respect of Asset-2 and Asset-3 will be governed by Regulation 13(7) of the 2020 Tariff Regulation.

e. NHPC's liability to bear transmission charges, if at all, can arise only post 26.3.2024 and not before.

The NHPC has submitted that even if we consider Asset-2 and Asset-3 as the ATS of Lower Subansiri HEP, NHPC's liability to bear transmission charges, if any, will arise only after the COD of the last transmission element of the ATS, which in the present case is 26.3.2024. Any claim for charges prior thereto is contrary to the governing regulatory framework and contractual arrangements. The NHPC has also placed reliance on Regulation 2(g) and Regulation 13(3) of the 2020 Sharing Regulations. The Petitioner has submitted that when there is a mismatch between the commissioning of a transmission asset and its associated generating station, the entity responsible for the delay, in the instant case, NHPC, is liable to bear the transmission charges for the entire mismatch period, i.e., from the deemed COD approved by the Commission until the actual COD of the generating station.

40. We have considered the submissions of the Petitioner and NHPC. With effect from 1.11.2020, the sharing of the transmission charges is being governed by the 2020 Sharing Regulations. The first amendment to the sharing regulation, 2020, was effective from 1.10.2023. The definition of ATS as per the sharing regulation is tabulated below:

As per the Sharing Regulation 2020 (w.e.f. 1.11.2020)	As per 1st amendment to the Sharing Regulation (w.e.f. 1.10.2023)
'Associated Transmission System' or 'ATS' means the transmission system identified for a generating station by	Associated Transmission System, or 'ATS', shall have the same meaning as defined in GNA Regulations

the Central Transmission Utility in the Long-Term Access grant;	

41. It is observed that M/s NHPC was granted Connectivity vide CTUIL letter dated 09.02.2022 under the Connectivity Regulations, 2009. However, no Long-Term Access (LTA) was granted by CTUIL to M/s NHPC under the said Regulations. Subsequently, the LTA application of M/s NHPC for two generating units (2 × 250 MW), originally submitted under the Connectivity Regulations, 2009, had transitioned in terms of Regulation 37.1 of the CERC (Connectivity and General Network Access to the inter-State Transmission System) Regulations, 2022 and was granted final Connectivity vide CTUIL's intimation dated 10.10.2023. Further, the Connectivity for the remaining six generating units aggregating to 1500 MW (6 × 250 MW) had transitioned in terms of Regulation 37.2 of the GNA Regulations and was granted final Connectivity vide CTUIL's intimation dated 10.10.2023.

सेंट्रल ट्रांसमिशन यूटिलिटी ऑफ इंडिया लिमिटेड
(पावर ग्रिड कॉर्पोरेशन ऑफ इंडिया लिमिटेड के स्वामित्व में)
(भारत सरकार का उद्यम)

CENTRAL TRANSMISSION UTILITY OF INDIA LTD.
(A wholly owned subsidiary of Power Grid Corporation of India Limited)
(A Government of India Enterprise)

Ref: CTU/NE/Conn-INT-1C/0420300007

Date: 10-10-2023

Shri Milind Ganesh Gokhale
Executive Director (T&RE)
NHPC Limited
NHPC Office Complex
Sector-33, Faridabad
Haryana -121003

Subject: Intimation for final grant of 250MW (Unit-1) Connectivity to NHPC Limited for its Lower Subansiri (8x250MW) HEP in Arunachal Pradesh

Dear Sir,

We write with reference to your letter dated 03-05-2023 regarding transition of 250MW (Unit-1) LTA applied vide application no. 0420300007 dated 31-03-2023 under Connectivity Regulations, 2009, to Connectivity under Regulation 37.1 of GNA Regulations, 2022.

In line with the intimation for in-principle grant of Connectivity bearing ref no. CTU/NE/Conn-INT-1A /0420300007 dated 31-08-2023, requisite Conn-BG1 and Conn-BG3 have been received.

In view of the above, intimation for final grant of 250MW (Unit-1) Connectivity to NHPC Limited for its Lower Subansiri (8x250MW) HEP in Arunachal Pradesh is enclosed herewith. The liability due to mismatch in commissioning of generation (by NHPC) and Lower Subansiri – Biswanath Chariali 400kV 2xD/c (Twin Lapwing) line under ISTS shall continue to be governed as per Sharing Regulations, 2020 for the earlier granted Connectivity of 2000MW under Connectivity Regulations, 2009.

You may contact at the following address for signing of the requisite Connectivity Agreement.

Executive Director (BCD & Reg.)
Central Transmission Utility of India Ltd.
Saudamini, Plot No. – 2, Sector – 29,
Near IFFCO Chowk, Gurgaon – 122001
Tel: 0124-2822662

Thanking you,

Yours sincerely

10/10/2023

Rajesh Kumar
Sr. General Manager

Encl.: as above

सेंट्रल ट्रांसमिशन यूटिलिटी ऑफ इंडिया लिमिटेड
(पावर ग्रिड कॉर्पोरेशन ऑफ इंडिया लिमिटेड के स्वामित्व में)
(भारत सरकार का उद्यम)

CENTRAL TRANSMISSION UTILITY OF INDIA LTD.
(A wholly owned subsidiary of Power Grid Corporation of India Limited)
(A Government of India Enterprise)

Ref: CTU/NE/Conn-INT-1C/1200003743

Date: 10-10-2023

Shri Milind Ganesh Gokhale
Executive Director (T&RE)
NHPC Limited
NHPC Office Complex
Sector-33, Faridabad
Haryana -121003

Subject: Intimation for final grant of 1500MW (Unit-3 to 8) Connectivity to NHPC Limited for its Lower Subansiri (8x250MW) HEP in Arunachal Pradesh

Dear Sir,

We write with reference to your letter dated 03-05-2023 regarding transition of 1500MW out of 2000MW connectivity applied by NHPC Ltd. vide application no. 1200003743 dated 28-02-2022 under Connectivity Regulations, 2009, to Connectivity under Regulation 37.2 of GNA Regulations, 2022.

In line with the intimation for in-principle grant of Connectivity bearing ref no. CTU/NE/Conn-INT-1A /1200003743 dated 31-08-2023, requisite Conn-BG1 and Conn-BG3 have been received.

In view of the above, intimation for final grant of 1500MW (Unit-3 to 8) Connectivity to NHPC Limited for its Lower Subansiri (8x250MW) HEP in Arunachal Pradesh is enclosed herewith. The liability due to mismatch in commissioning of generation (by NHPC) and Lower Subansiri – Biswanath Chariali 400kV 2xD/c (Twin Lapwing) line under ISTS shall continue to be governed as per Sharing Regulations, 2020 for the earlier granted Connectivity of 2000MW under Connectivity Regulations, 2009.

You may contact at the following address for signing of the requisite Connectivity Agreement.

Executive Director (BCD & Reg.)
Central Transmission Utility of India Ltd.
Saudamini, Plot No. – 2, Sector – 29,
Near IFFCO Chowk, Gurgaon – 122001
Tel: 0124-2822662

Thanking you,

Yours sincerely

10/10/20

Rajesh Kumar
Sr. General Manager

Encl.: as above

INTIMATION FOR FINAL GRANT OF CONNECTIVITY UNDER REGULATION 9			
A	**General**		
1.	Intimation No.	:	CTU/NE/Conn-INT-1C/12000003743
	Date	:	10-10-2023
2.	Ref. Application No.	:	12000003743 (as per Connectivity Regulations, 2009)
	Date	:	31-03-2023
3.	Name of the Applicant	:	NHPC Limited
4.	Address for Correspondence	:	NHPC Office Complex, Sector-33, Faridabad, Haryana -121003
5.	Location of the Generating Station Latitude Longitude State	: : : :	North Lakhimpur, Kamle 27°33'15" N 94°15'30" E Arunachal Pradesh
6.	Nature of the Applicant	:	Generating station(s), including REGS(s), without ESS (Hydro)
B	**Connectivity Details**		
7.	**Details for Connectivity granted Quantum**		
7a	Capacity (MW) for which connectivity is granted	:	1500MW (corresponding to Unit-3 to 8)
7b	Point at which connectivity is granted • Terminal bay no. • SLD	: : :	Lower Subansiri generation switchyard of NHPC Limited Line#1, Line#2, Line#3 & Line#4 SLD enclosed at **Annexure-1**
8	Status of ISTS substation		
8a	In case of existing substation: • Terminal bay no. • SLD	 : :	Not Applicable
8b	In case of under construction substation: • Latitude (any point in substation boundary) • Longitude (any point in substation boundary) • Scheduled date of commercial operation of substation • Terminal bay no. • SLD	 : : : : :	Not Applicable
8c	In case of proposed substation: • Tentative Latitude (any point in substation boundary) • Tentative Longitude (any point in substation boundary) • Expected scheduled date of commercial operation of substation	 : : :	Not Applicable

9	Scheduled date of commercial operation of bay at ISTS end, if applicable	:	Terminal bays at Lower Subansiri end (under the scope of applicant)
10	**Dedicated Transmission Line (DTL)**	:	Not Applicable
11	**Associated Transmission System (ATS)**	:	Nil
i.	**Scheme details**	:	Not Applicable
ii.	Scheduled commissioning date of ATS	:	Not Applicable
12	**Augmentation (Other than ATS)**	:	Existing ISTS
i.	**Scheme details**	:	Existing ISTS includes 400kV Lower Subansiri – Biswanath Chariali (Twin Lapwing) 2x D/c lines under ISTS. 1st D/c already commissioned, and 2nd D/c is expected to be ready by Dec 2023
ii.	Scheduled commissioning date of Augmentation	:	Dec 2023
13	**Start date of connectivity**	:	31-03-2024*
C	**Bank Guarantee Details**		
14	**Amount of BGs submitted**		
14a	**Conn-BG1**	:	Rs. 50 lakhs
14b	**Conn-BG2**	:	Not Applicable
14c	**Conn-BG3**	:	Rs. 30 Crores
D	**Details of communication system**		
15	Details of communication system	:	As per **Annexure-II**

** Subject to signing of Connectivity Agreement under GNA Regulations, 2022.*

42. The final grant of connectivity issued to M/s NHPC records the Associated Transmission System (ATS) as NIL. Further, the Long-Term Access (LTA) application of M/s NHPC for two units (2 × 250 MW) of the Lower Subansiri HEP, originally submitted under the Connectivity Regulations, 2009, had transitioned to the GNA framework in accordance with the provisions of the GNA Regulations, 2022, and the final grant of connectivity was accordingly issued under the said GNA Regulations. The final grant of connectivity vide letter dated 10.10.2023 also stipulates that the liability arising due to any mismatch between the commissioning of generation units by M/s NHPC and the commissioning of the Lower Subansiri – Biswanath Chariali 400 kV 2×D/C (Twin Lapwing) transmission line under the ISTS shall continue to be governed by the Sharing of Inter-State Transmission Charges and Losses Regulations, 2020, insofar as it relates to the earlier connectivity of 2000 MW granted under the Connectivity Regulations, 2009.

43. In view of the foregoing, the Lower Subansiri - Biswanath Chariali 400 kV 2xD/c (Twin Lapwing) line is basically a dedicated transmission system for the evacuation of power from Lower Subansiri, which has been developed as a part of the ISTS. Consequently, any mismatch in the commissioning of the said dedicated transmission system vis-à-vis the connecting generation station is required to be dealt with in accordance with Regulation 13(9) of the Sharing of Inter-State Transmission Charges and Losses Regulations, 2020. Accordingly, the contention of NHPC that its liability to bear transmission charges would arise only after the COD of the last transmission element (of the ATS), i.e., 26.3.2024 in the instant case, is rejected.

44. The Regulation 13(9) of 2020 Sharing Regulations was amended on 20.10.2023, vide first amendment to the 2020 Sharing Regulations and it provides as follows:

> *"(9) Where a dedicated transmission line has already been constructed or is under construction by an inter-State transmission licensee under coordinated transmission planning of the Central Transmission Utility, and the Connectivity grantee has not achieved COD on or before COD of the dedicated transmission line, the Yearly Transmission Charges for such dedicated transmission line shall be payable by the concerned Connectivity grantee to the inter-State transmission licensee from the COD of the dedicated transmission line till COD of such Connectivity grantee and after which Yearly Transmission Charge for the dedicated transmission line shall be considered in accordance with Regulations 5 to 8 of these regulations."*

45. The Regulation 5(2) of the 2019 Tariff Regulations permits a transmission licensee to declare the deemed date of commercial operation of transmission elements when the connecting generating station is delayed. The intent of this provision is to protect the financial interests of the transmission licensee, whose assets are ready but remain stranded for reasons beyond its control.

46. The COD of Asset-2 and Asset-3 have been approved as 2.4.2023 and 26.3.2024, respectively under Regulation 5(2) of 2019 Tariff Regulations. It is noted that out of the total generation capacity of 8X250 MW, one unit of 250 MW achieved commercial operation on 23.12.2025. Accordingly, the transmission charges in respect of Asset-2 from 2.4.2023 and Asset-3 from 26.03.2024 shall be borne by the NHPC

under Regulation 13(9) of the 2020 Sharing Regulations. It is noted that out of the total generation capacity of 8x250 MW, one unit of 250 MW has achieved commercial operation on 23.12.2025. Therefore, the transmission charges proportionate to 250 MW shall be shared as per Regulation 5 to 8 of the 2020 Sharing Regulations and the transmission charges for the remaining generation capacity of 1750 MW shall be borne by NHPC from the COD of Asset-2 and Asset-3 till the COD of the generation by NHPC, in accordance with Regulation 13(9) of the 2020 Sharing Regulations.. Thereafter, the billing, collection, and disbursement of transmission charges shall be governed by the provisions of the 2020 Sharing Regulations, as provided in Regulation 57 of the 2019 Tariff Regulations.

Time overrun

47. As per IA dated 27.2.2009, the transmission assets were scheduled to be put into commercial operation within 48 months. Accordingly, the SCOD of the transmission assets was 1.3.2013. The CODs of the Asset-3 and Asset-4 are approved as 2.4.2023 and 26.3.2024, respectively, in this order. Therefore, there is a time over-run of 3684 days and 4043 days for Asset-2 and Asset-3, respectively.

Capital cost:

48. The Petitioner has claimed the following capital cost and Additional Capital Expenditure for the 2029-24 Tariff Period:

(₹ in lakh)

Assets	Apportioned Approved Cost as per FR	RCE-III	Capital Cost claimed as on COD	Projected ACE				Estimated Completion Cost
				2023-24	2024-25	2025-26	2026-27	
Asset-2	56511.00	114090.00	101750.18	3883.00	4042.73	2843.12	0.00	112519.03
Asset-3	56145.00	121941.00	104111.80	0.00	4905.32	2657.79	6224.35	117899.24

Cost overrun

49. The estimated completion cost of the Asset-2 and Asset-3 is much higher than the FR approved apportioned cost. However, it is within the RCE-III apportioned cost. The variation in the capital cost of Asset-2 and Asset-3 is due to variation in the expenditure towards preliminary investigation, RoW, forest clearance, PTCC, general civil works, actual compensation paid and increase in the cost of transmission line (tower steel, conductor, insulator, hardware, erection, stringing, civil works, etc.).

50. The time overrun and cost overrun in case of Asset-2 and Asset-3 will be dealt with in detail at the time of grant of the final tariff order.

51. After carrying out a preliminary prudence check of the AFC claimed by the Petitioner and taking into consideration the time overrun and cost overrun in case of Asset-2 and Asset-3, which shall be looked into in detail at the time of issue of final tariff order, we approve interim tariff of 70% of the AFC claimed by the Petitioner for Asset-2 and Asset-3 for the year 2023-24 in terms of Regulation 10(3) of the 2019 Tariff Regulations.

52. Accordingly, the annual transmission charges claimed and approved for Asset-2 and Asset-3 from their respective COD to 31.3.2024 are as follows:

(₹ in lakh)

Asset	COD approved	AFC claimed by the Petitioner for 2023-24	Annual Transmission Charges approved for 2023-24
Asset-2	2.4.2023	17221.07	12054.79
Asset-3	26.3.2024	284.85 (pro-rata 6 days)	189.39

53. The interim tariff allowed in this order shall be applicable from the COD of the transmission assets, and the billing, collection, and disbursement of the transmission charges approved in this order shall be governed by the provisions of the 2020 Sharing Regulations, as provided in Regulation 57 of the 2019 Tariff Regulations, as amended

from time to time. Further, the interim transmission charges allowed in this order shall be subject to adjustment in accordance with Regulation 10 of the 2019 Tariff Regulations.

SD/-	**SD/-**	**SD/-**	**SD/-**
(Ravinder Singh Dhillon)	**(Harish Dudani)**	**(Ramesh Babu V.)**	**(Jishnu Barua)**
Member	**Member**	**Member**	**Chairperson**